Mkt Research on Café de Coral

I. Introduction

Café de Coral, a leading fast-food chain in Hong Kong, is currently in the maturity stage of its product life cycle (PLC). In this stage, industry sales growth slows, and fierce competitors appear. To defend its market share and profitability against shifting consumer preferences, this report proposes two strategic initiatives to extend its PLC based on a recent field visit to a local branch.

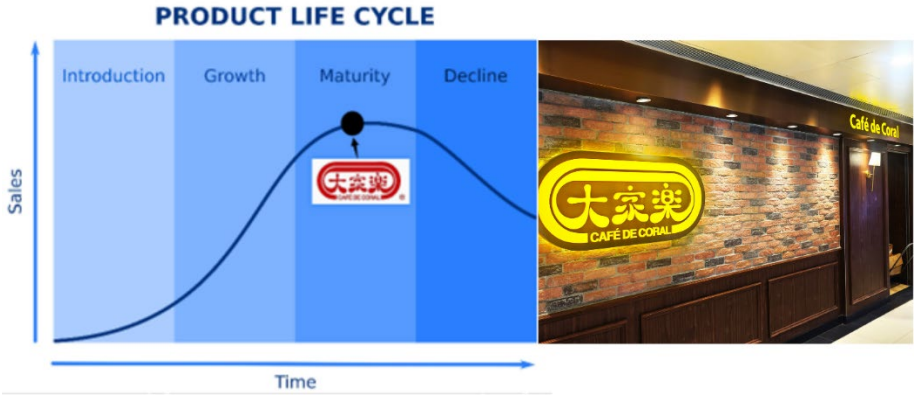

Figure 1-1: Café de Coral in the PLC Maturity Stage

II. Field Visit Experience

During my field visit to a Café de Coral branch, I conducted an objective evaluation of its operations, summarizing the findings into strengths and weaknesses.

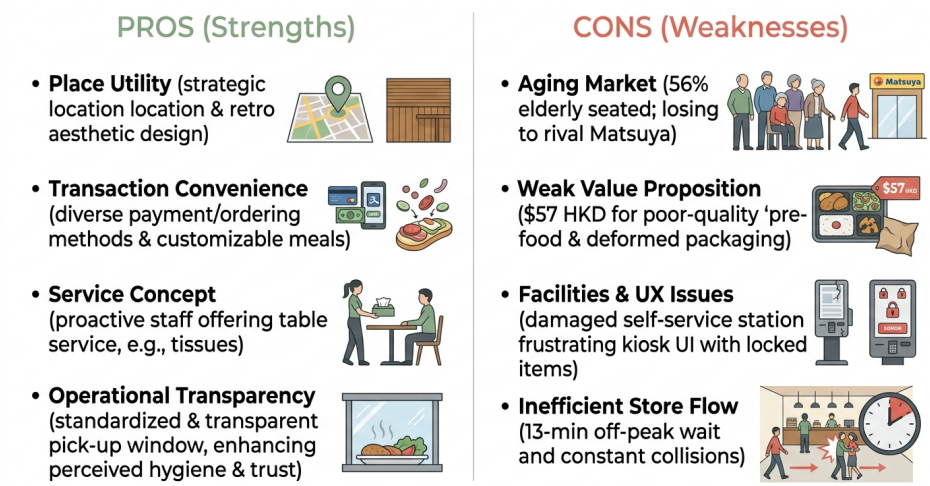

Figure 2-1: Executive Summary of Field Visit Observations (Pros vs. Cons)

Pros (Strengths):

Place Utility & Environment: The branch maximizes place utility by strategically locating near a bus stop. The spacious, two-story layout features a cost-effective yet aesthetic Chinese retro wooden style with floor-to-ceiling windows.

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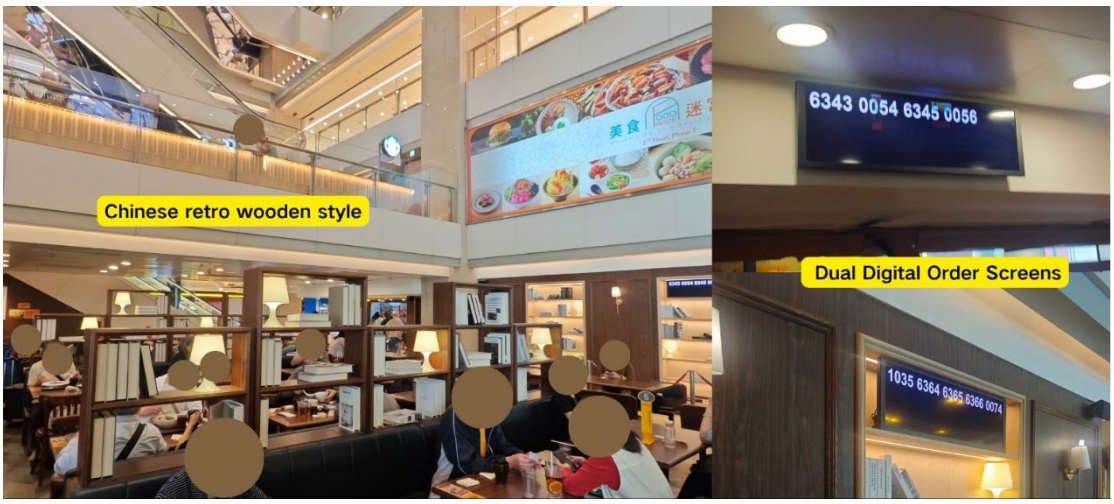

Figure 2-2: Spacious Dining Environment and Order Displays

Transaction Convenience: Diverse ordering channels and multiple payment methods lower adoption barriers. The flexibility between kiosks and counters, including meal customization, significantly enhances possession utility.

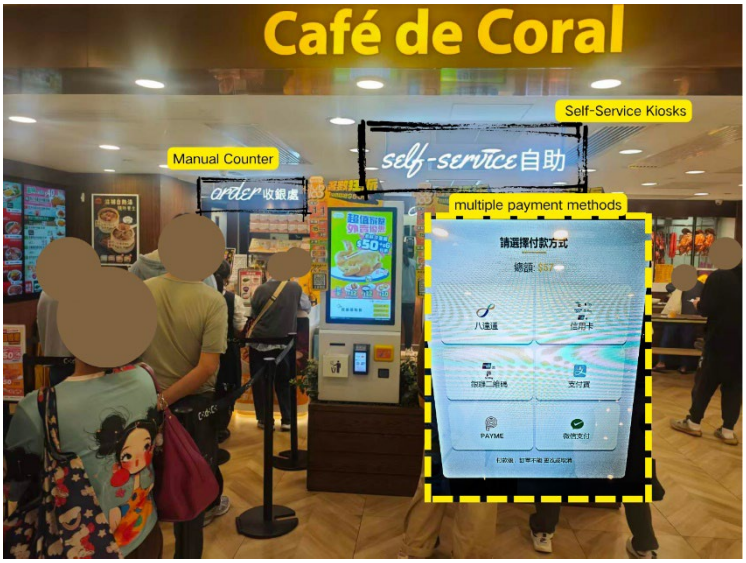

Figure 2-3: Panoramic View of Self-Service Kiosks and Manual Counter

Customer Service Concept: Despite being a fast-food chain, staff proactively offering tissues during the meal demonstrates a positive, human-centric customer service concept.

Operational Transparency: The food pick-up window is standardized and transparent, allowing customers to easily observe the food preparation process. This effectively enhances the perception of hygiene and cleanliness, thereby building customer trust.

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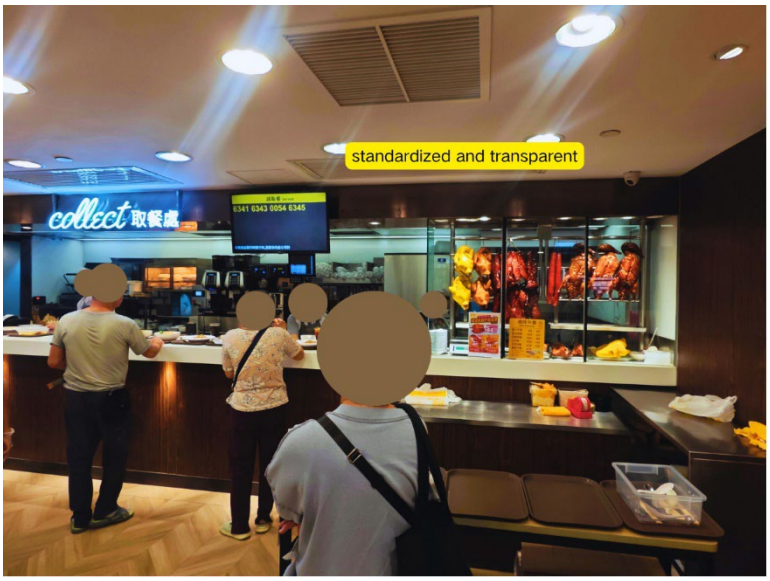

Figure 2-4:

Cons (Weaknesses):

Aging Target Market: The customer base is noticeably aging; upon my arrival at 11:30 AM on a weekday, 21 out of the 37 seated customers (56.8%) were elderly.

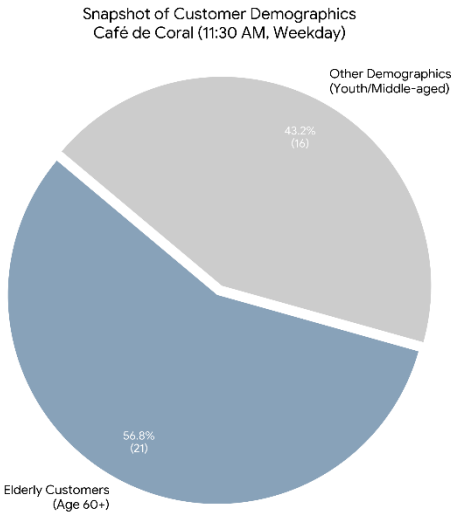

Figure 2-4: Customer Demographics Snapshot (Pie Chart)

Weak Value Proposition: The $57 HKD signature pork chop arrived in deformed packaging with a distinctly "pre-made" texture, failing to deliver a compelling customer value proposition.

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Figure 2-5：unappealing package

Facilities & UX Issues: The physical evidence is poorly maintained, exemplified by the damaged self-service stations.

Figure 2-6: Damaged Self-Service Station & Locked Kiosk Menus

Furthermore, the frustrating kiosk UI (where many items are inexplicably locked as "preparing") severely damages the convenience dimension of customer service.

Inefficient Store Flow: The restaurant's physical flow creates unacceptable collisions between waiting customers and cleaning staff. Additionally, a 13-minute wait during off-peak hours significantly degrades the time dimension of the customer experience.

III. Strategy 1: Modifying the Product & Repositioning

Based on the Product Life Cycle (PLC), Café de Coral is currently in the Maturity Stage. Therefore, rather than risky new launches, the focus should be on modifying the product and repositioning existing classics. As a 30-year-old brand, its food is an emotional anchor; for instance, my mother’s nostalgia for a dish from 20 years ago highlights the need to maintain quality to respect consumer memory and learning. By optimizing terminal reheating and upgrading to sturdy packaging, the brand can reposition signature meals as a "High-Quality Classic Hong Kong Taste" instead of "cheap pre-made food," rather than blindly pursuing new products.

The rationality of this strategy is supported by the following four aspects:

Demand: Problem Recognition is triggered by the stark gap between the $57 HKD price and the dismal food presentation. Significant demand exists for decent, quality-assured meals at this price point.

Marketing Objectives: In the maturity stage, the primary goal is to "defend market share and profit". Quality upgrades achieve this defensive goal without resorting to a destructive price war.

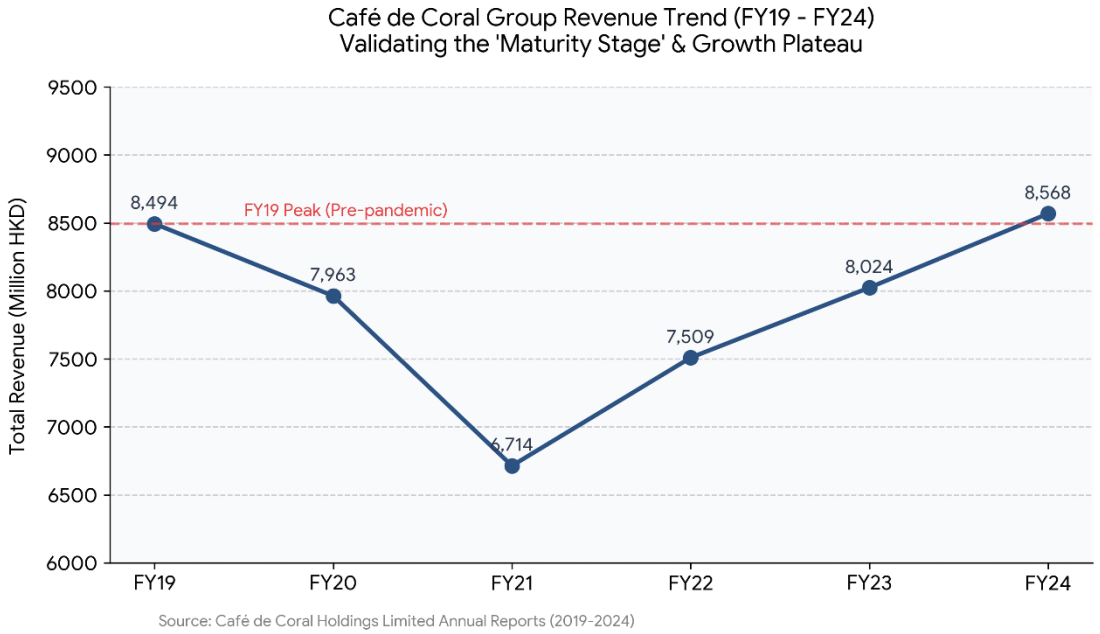

Figure 3-1: Café de Coral Hong Kong Segment Revenue Trend

Expertise and Resources: Leveraging its Efficient Supply Chain and Hong Kong's strongest central kitchen network, the company can easily adjust in-store SOPs and packaging suppliers within its existing capabilities.

Differentiation: This approach creates strong Product Differentiation. While Matsuya focuses on low-cost, standardized speed, Café de Coral stands out by offering high-quality local nostalgia.

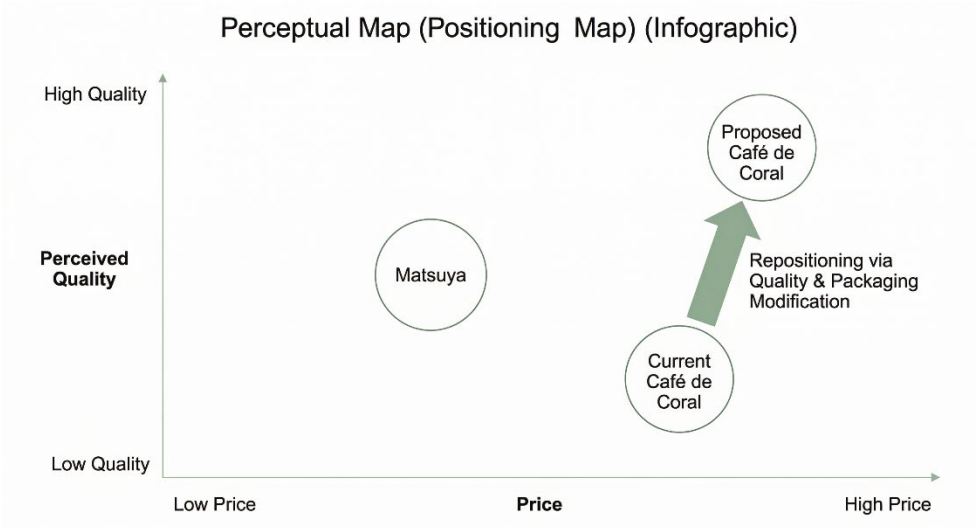

Figure 3-2: Perceptual Map for Café de Coral Repositioning

IV. Strategy 2: Modifying the Market & Upgrading Service Processes

Implementing Market Modification, Café de Coral should attract tech-savvy younger consumers by upgrading service Process and Physical Evidence. Key actions include overhauling the frustrating kiosk UI and redesigning store flow to separate pickup zones from cleaning routes, thereby eliminating physical collisions and compressing the 13-minute wait time. The rationality of this strategy is supported by the following four aspects:

Rationality is supported by the following:

Demand: Younger consumers are highly time-sensitive. A rigid demand exists for a seamless "order-and-go" experience free from the frustration of chaotic physical flow and broken interfaces.

Marketing Objectives: In the maturity stage, Market Modification seeks new sources of sales volume. Fixing these operational pain points reclaims the younger demographic lost to efficient competitors like Matsuya.

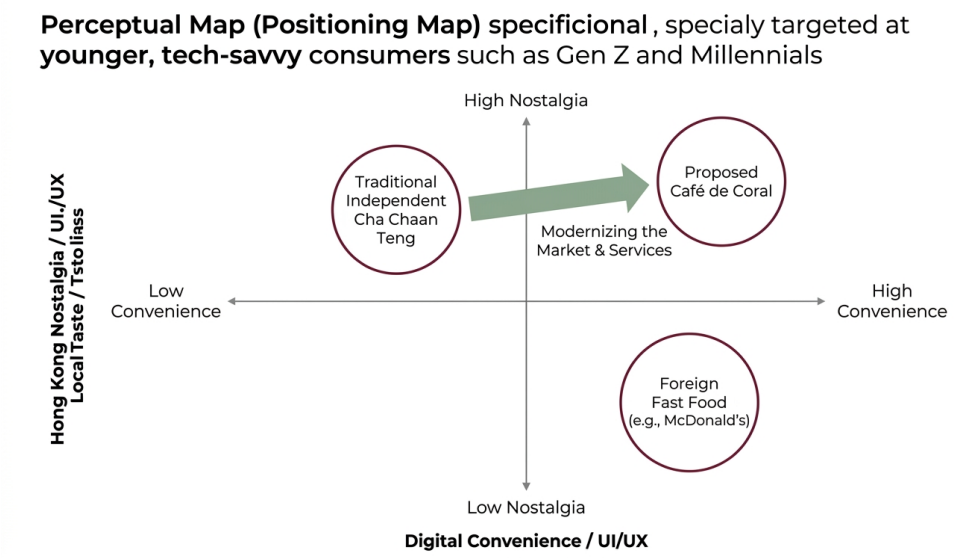

Figure 3-3: Perceptual Map for the Younger Demographic

Expertise and Resources: Already possessing corporate IT infrastructure, the company only requires a UI/UX logic redesign and minor layout adjustment (e.g., physical dividers). This is highly feasible and cost-effective for a listed entity.

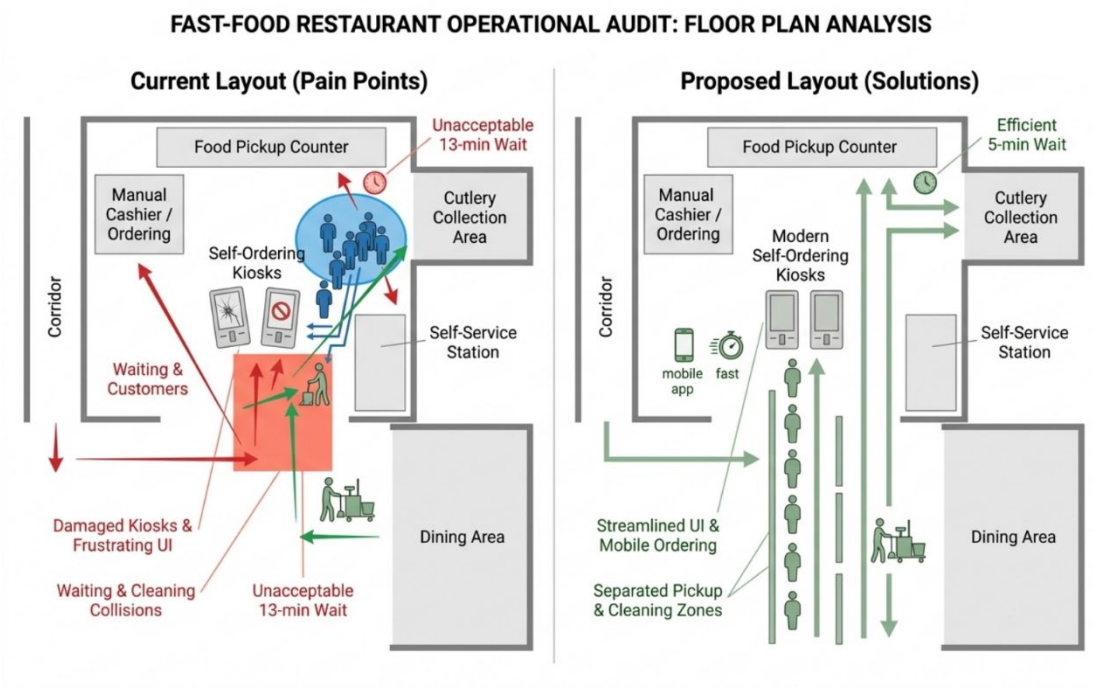

Figure 3-4: Proposed Floor Plan & Process Optimization

Differentiation: This approach establishes a unique "Modernized Heritage" position. It differentiates Café de Coral from chaotic local diners via digital convenience, and from foreign chains through authentic local taste.

V. Conclusion & Recommendation

In conclusion, both strategies are essential for Café de Coral to navigate its maturity stage and extend its product life cycle. However, Strategy 1 (Product Modification) should be the top priority. While Strategy 2 focuses on operational efficiency to attract new segments, Strategy 1 is fundamental to maintaining the brand's emotional equity and retaining the loyal customer base that views the brand as a nostalgic anchor. Stabilizing the core product quality is the prerequisite for any successful market expansion.

VI. Risk Assessment

As required by the assessment criteria, the potential risks for each strategy are identified as follows:

Risk of Strategy 1: Enhancing food quality and upgrading packaging may lead to a slight increase in operating costs. This requires a strategic focus on increasing sales volume to offset the higher expenses and maintain overall profitability.

Risk of Strategy 2: Modifying the physical store layout and digital infrastructure may cause short-term disruptions to the dine-in experience during the construction or implementation phase, which might temporarily frustrate existing customers.

References

Café de Coral Holdings Limited. (2019–2024). ***Annual Reports 2018/19 - 2023/24*****. Retrieved from https://www.cafedecoral.com/eng/investor-relations/annual-interim-reports/index.jsp**

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